

Consumer lending

presented by : Asmita Gaihre , Barsha kunwar , Rabina Chhetri , saraswoti yadav

Introduction

- **Consumer Lending**
- **Consumer Lending** is the practice of banks and financial institutions providing credit to **individuals** for personal, family, or household purposes.
- **Objective:** To help individuals finance immediate needs or long-term Asset.

Key features Of consumer lending

- Consumer lending is distinct because it focuses on the **individual** rather than the **entity**. Below are the core characteristics that define this sector.
- **1. Target Market: Individual Focus**
- **Personal Capacity:** Loans are granted to "natural persons" (individuals) rather than corporations or firms.
- **Household Utility:** The credit is intended to improve the quality of life or the standard of living of a household.

2. Loan Structure and Repayment

- **Amortization (EMI):** Most consumer loans are structured as **Equated Monthly Installments**. Each payment includes both principal and interest, ensuring the loan is fully paid off by the end of the term.
- **Loan Tenure:** These are generally medium-to-long-term commitments. For example, Auto Loans in Nepal typically run for 5–7 years, while Home Loans can extend up to 20–25 years.

3. Regulatory Ratios (Nepal Rastra Bank Norms)

- In Nepal, consumer lending is strictly governed by specific financial ratios to prevent over-indebtedness:
- **Loan-to-Value (LTV) Ratio:** This determines how much the bank can lend against the value of an asset. For instance, for a private vehicle, the LTV is often capped at **50%**.
- **Debt Service Coverage Ratio (DSCR):** Banks analyze your "Net Disposable Income" to ensure that your total monthly EMIs do not exceed a certain percentage (usually **50% to 60%**) of your monthly take-home pay.

4. Pricing Mechanism

- **Base Rate Linked:** Most loans in Nepal are "Floating," meaning the interest rate fluctuates based on the bank's cost of funds.
- **Premium Loading:** Banks add a "Premium" (e.g., 2% to 5%) on top of the Base Rate depending on the product type and the borrower's risk profile.

5. Standardization of Process

- **Template-Driven:** Unlike industrial loans which require custom negotiations, consumer loans are highly standardized. The interest rates, documentation, and approval steps are the same for most applicants.
- **Credit Information Bureau (CIB):** A key feature is the mandatory check of the **CIB report**. In Nepal, any past default on a small loan can disqualify a consumer from getting future credit.

Types of consumer loans

1. Home Loan (Housing Loan)

- This is the most common long-term consumer loan in Nepal.
- **Purpose:** To purchase a house/apartment, buy land, or renovate an existing property.
- **Tenure:** Long-term, usually ranging from **5 to 25 years**.
- **Security:** The property itself is mortgaged to the bank.
- **Nepalese Context:** Banks like **Nabil** and **Global IME** offer specific "Ghar Karja" schemes with LTV (Loan-to-Value) ratios typically around 60–70% for residential homes.

2. Vehicle loan

Designed for individuals wishing to purchase a private vehicle.

- **Purpose:** Buying a new or used four-wheeler (or sometimes high-end bikes).
- **NRB Regulation:** Current Nepal Rastra Bank directives often cap the financing at **50%** for petrol/diesel vehicles, though it is higher (up to **80%**) for **Electric Vehicles (EVs)** to promote green energy.
- **Tenure:** Generally **5 to 7 years**.

- **3. Education Loan**

- A specialized loan to help students or parents cover the cost of higher education.
- **Purpose:** Covers tuition fees, hostel charges, and even travel/living expenses for students going abroad (e.g., to Australia, USA, or India).
- **Security:** Usually backed by land/building collateral or Fixed Deposits.
- **Repayment:** Often features a **Moratorium Period** (grace period) where the student only pays interest while studying, and the principal repayment starts after graduation

- **4. Personal Loan / Term Loan**

- A flexible loan used for various personal needs like weddings, travel, or medical emergencies.
- **Unsecured Personal Loan:** Based on the borrower's salary and employment stability (e.g., "Salary Saving Loan").
- **Secured Personal Loan:** Often taken against Fixed Deposits or Gold. In Nepal, **Gold Loans** are very popular for quick, short-term cash needs.

- 5. In the context of the Nepalese banking system, a **Fixed Deposit (FD)**—known as *Muddati Nikshep*—is a powerful savings tool where you lock in a specific amount of money for a set period to earn a higher interest rate than a regular savings account.
- **Process:** If you have an FD at a bank (e.g., **NIC Asia**), you can borrow up to **90%** of that amount instantly.
- **Pricing:** The interest rate is usually only **1% to 2% higher** than the interest you are earning on your deposit.

- **6. Credit Cards**

- This is a form of **Open-end (Revolving) Credit**.
- **Mechanism:** The bank provides a credit limit. The consumer can spend, pay back, and spend again.
- **Interest:** Very high if the full balance is not paid by the due date, but interest-free if paid in full every month.
- **Feature:** Often used for daily shopping or online payments.

Summary of table

Loan Type	Asset-Backed?	Typical Tenure	Popular in Nepal?
Home Loan	Yes (Land/House)	10–25 Years	Highest Volume
Auto Loan	Yes (Vehicle)	5–7 Years	Very High (esp. EVs)
Education	Yes (Property/FD)	5–15 Years	High (for abroad study)
Gold Loan	Yes (Ornaments)	Up to 1 Year	Instant Cash
Credit Card	No (Usually)	Revolving	Rising (Urban areas)

Different between consumer vs Real state Lending Vs industrial lending vs commercial lending

Consumer Lending: Loans given to individuals for personal needs like education, vehicles, or health. They are usually short to medium-term with high interest. Example: Personal loan, Vehicle loan, Education loan.

Real Estate Lending: Loans provided to individuals or companies to buy or construct property. These are long-term loans, secured by the property, and carry lower risk. Example: Home loan, Land purchase loan.

Commercial Lending: Loans given to businesses for trade, working capital, or business operations. These loans are medium to high in amount, secured by business assets, and have moderate risk. Example: Business loan, Trade finance, Working capital loan.

Industrial Lending: Loans provided to industries or factories for machinery, production, or expansion. They are very high in amount, long-term, secured by industrial assets, and have relatively lower interest than consumer loans. Example: Industrial term loan, Factory expansion loan.

How consumer loans are priced?

- Consumer loans are priced mainly through interest rates, which depend on the bank's base rate, the borrower's risk (income, credit history), the loan amount and tenure, whether the loan is secured or unsecured, processing and administrative costs, and market conditions like inflation and competition. For example, a personal loan without collateral may have a higher interest rate than a vehicle loan that is partially secured by the car.

Conclusion

- Consumer lending helps individuals meet personal needs like education, vehicles, and medical expenses. It improves people's living standards and supports economic stability. Consumer loans are usually small, short to medium-term, and may be unsecured, so they carry higher risk for banks. Proper risk assessment and interest rate management are important for safe lending. Overall, consumer loans benefit individuals, while other loans focus on business, industry, or property development.